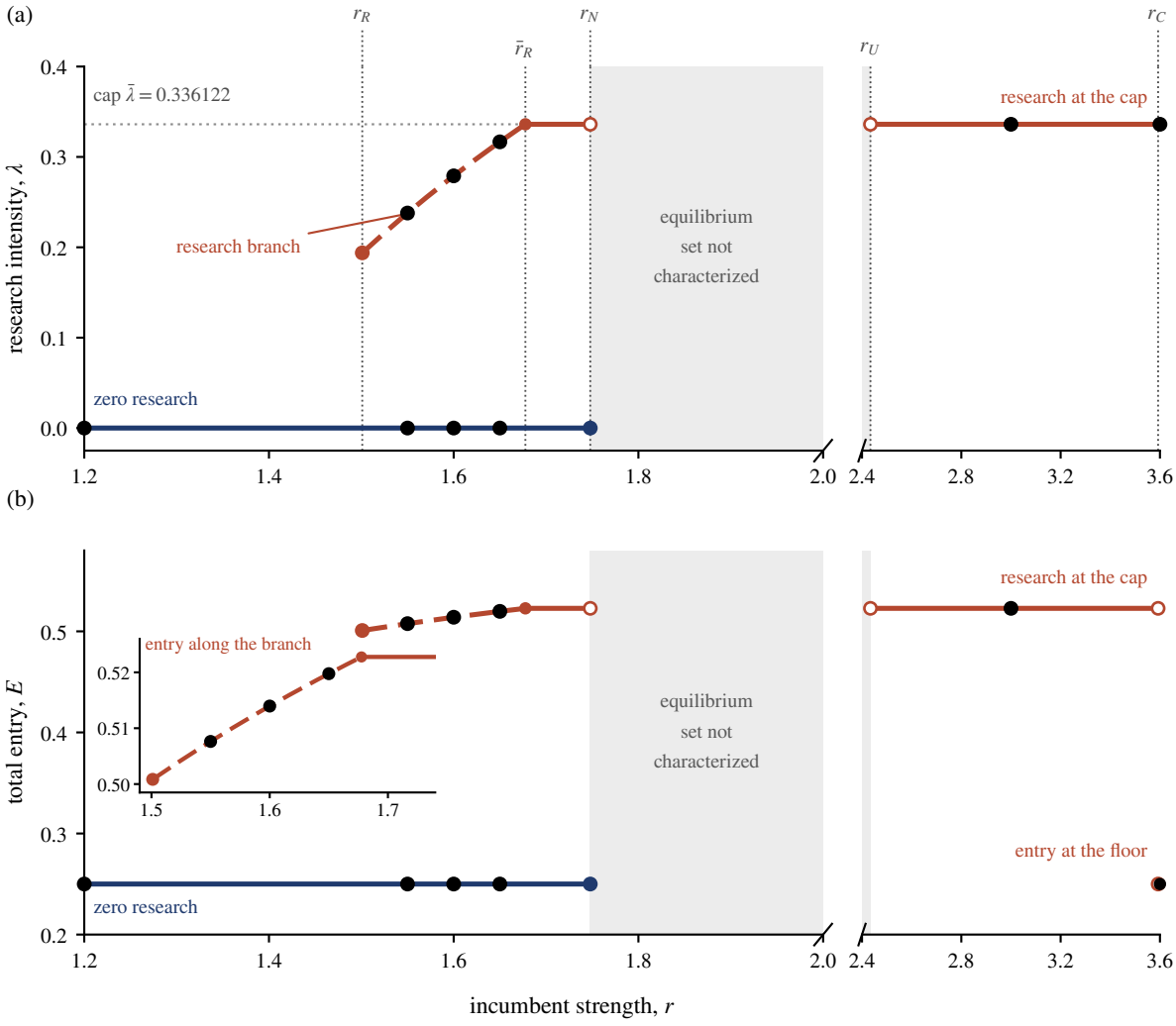
(a)
r_R
$\bar{r}_R$
r_N
r_U
r_C
cap $\bar{\lambda} = 0.336122$
research intensity, λ
research branch
zero research
equilibrium
set not
characterized
research at the cap
0.0
0.1
0.2
0.3
0.4
1.2
1.4
1.6
1.8
2.0
2.4
2.8
3.2
3.6
(b)
total entry, E
entry along the branch
0.50
0.51
0.52
1.5
1.6
1.7
zero research
equilibrium
set not
characterized
research at the cap
entry at the floor
0.2
0.3
0.4
0.5
incumbent strength, r